TASK REPORT 02 · TRADING EXECUTION & SAFETY

Trading Execution, Risk Gate & Go-Live Hardening

Complete Technical Record of Practice Cutover, Strategy Calibration, Guardian Risk Layers, and Production Broker Safeguards (October 15 – 18, 2026)

ENVIRONMENT	RISK OFFICER	EXECUTION ENGINE	HARDENING PIN
OANDA Practice Live	Guardian System 3 (ams)	Hand System 2 (B1-B3)	17827c5 (Deployed)

1. The Practice Cutover (2026-10-15)

Trading execution resumed on Computer 4 under strict owner supervision using the step-by-step runbook `PRACTICE-CUTOVER.md`. The system was transitioned from observation mode to active demo order execution on the OANDA Practice account (`OANDA_ENV=practice`).

Key Cutover Milestones

1. **Guardian Un-Pause:** Guardian System 3 was un-paused via `ams resume CONFIRM` . By design, Guardian entered `CAUTION` state (half-size sizing haircut `0.5x`).
2. **Go-Live Safety Latch:** Enforced safety flag asserting that Guardian will refuse `enforce` mode unless explicitly enabled in database storage.
3. **Rehearsal Pipe Drill:** Synthetic drill signal `423a8b50` published and traced from S1 -> Queue -> S3 Guardian -> S2 Hand, verifying order validation without broker submission.
4. **Execution Shadow Lift:** At 20:51:16Z, `EXEC_SHADOW=false` was configured across service supervisors and environment files. System 2 began submitting live market orders to OANDA practice account.

2. Resolution of the 5 Tradable Strategies

Following initial cutover, four blockers preventing execution across the 5 approved strategies were diagnosed and patched:

Strategy	Defect Identified	Resolution Implemented	Status
h4_forex_system (28)	Multi-pair evaluation failed due to hardcoded GBP_USD SL/TP parameters.	Restricted to `pairs=[GBP_USD]` and dynamic pair lookup.	TRADABLE
All Strategies (Daily)	S1 emitted daily bars as `D1` ; Guardian duration gate expected `D` .	Implemented `_GRANULARITY_ALIASES` in `pipeline.py` .	TRADABLE
precision_swing (43) & strong_weak (50)	Designated cells with negative backtest Kelly sized to 0 units.	Owner decision: designated cells trade from floor with 0.1% base risk.	TRADABLE

Strategy	Defect Identified	Resolution Implemented	Status
System 2 Instruments	System 2 rejected pairs not in its 5-pair allowlist (e.g. AUD_CHF).	Expanded `TRADEABLE_INSTRUMENTS` in `.env.system2` to all 15 pairs.	TRADABLE

3. Go-Live Hardening Implementations (2026-10-18)

On 2026-10-18, the team merged commits `94fa3b5`, `c3321b2`, and `de31f84` into pin `17827c5`, deploying institutional-grade broker safeguards across the execution pipeline:

Safeguard Component	System	Mechanism & Protective Action
`priceBound` Protection	System 2	Every market order sent to OANDA carries an absolute price bound (entry $\pm$ 2.0 pips for majors, 3.0 pips for crosses). Protects against flash slippage.
Dynamic Spread Guard	System 2	Refuses trade submission if live broker spread exceeds 3.0x typical historical spread or absolute ceiling (3 pips major / 6 pips cross).
Terminal Reject Handling	System 2	Classifies broker HTTP responses: 4xx errors treated as terminal rejections (no retry); 429/5xx trigger bounded backoff with pre-submit reconciliation.
`flatten_all` Emergency Close	Bridge & S2	Routes System 3 emergency flattening commands directly to S2, executing market closes for all open trades while leaving stop-loss orders intact.
Rollover Hold (Layer R)	System 3	Prohibits new order approvals between 16:55 and 17:15 New York time, avoiding massive spread spikes during the daily bank rollover.
Silent-Drop Watchdog	System 3	Scans every approved order: if unacknowledged by S2 within 30 seconds and absent from DLQ, transitions to silent-drop alert status.
Weekend Holding Policy	System 3	Closes entry window Friday 14:00 NY time. Prohibits weekend holding unless Margin Used < 25% and Total Risk < 1.0% NAV.
Financing Drag Tracking	Bridge & S3	Monitors daily swap financing debits (1.1%/yr markup), ensuring overnight carry costs are accounted for without tripping balance alarms.
Environment Guard	All	Hard cryptographic check ensuring `OANDA_ENV`, broker URL host, and API tokens match. Any practice/live mismatch halts process instantly (exit 3).

4. Current Production Status

- **Services UP:** Guardian (:8300), Hand (:8002), Bridge, Publisher, and Dashboard (:8050) all healthy.
- **Open Positions:** 5 active positions managed on OANDA Practice account (Trade IDs: 2811, 2821, 2825, 2829, 2833; Equity: 80,379.62 CAD).
- **Downtime Halt Safeguard:** Active (`downtime_halted: True`) due to clean process restart gap. Open trades are safe with broker stops; new entries paused pending owner resume command.